CASE STUDY

Malar and Mani are good friends and wanted to start a business of buying and selling of sports materials. So, they formed a partnership firm. They contributed equal amount of capital. Apart from the capital, Mani gave loan to the business. However, there was no partnership deed. Malar is good at marketing and adds value to the business with her skills. The firm maintains two separate accounts- capital and current accounts. The business gained popularity and reputation. But, the business could not cover its expenses and hence made a loss. At the end of the first year of the business, they had some misunderstanding on the following:

1) Malar claims salary of ₹ 10,000 per month, for her extra efforts. Mani does not agree to this.
2) Mani claims interest on the loan. But, Malar does not agree for this saying that the business made a loss.
3) Mani wants to admit his relative into the existing firm, but Malar does not agree for this.

They both need your help to solve these issues.

To explore further

A business has gained good reputation. Can this be valued in terms of money and be recorded in the books of accounts?

Reference

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